# Employee Handbook and Code of Conduct

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## Purpose and Scope

This handbook sets out the terms under which people work at TraceStock AI, the standards of behaviour expected of them, and the processes that apply when something goes wrong. It applies to every employee, contractor, temporary worker, and intern engaged by the company, at every site, regardless of role or seniority.

Where this handbook conflicts with an individual employment contract, the contract prevails on matters of pay, notice, and working hours. Where it conflicts with German employment law, the law prevails without exception. Everywhere else, this handbook is the reference.

Nothing in this handbook creates a contractual entitlement beyond those set out in an employment contract. The company may amend the handbook, and material amendments are communicated at least four weeks before they take effect.

## Company Values in Practice

The company describes itself through three commitments. They are stated here in operational terms, because values that cannot be acted on are decoration.

**Evidence before assertion.** Any claim made to a customer, a colleague, or a manager should be traceable to something recorded. This is why sales are recorded per channel, why stock counts are investigated rather than adjusted, and why customer promises are made against confirmed stock. A confident guess that turns out wrong costs more than an honest uncertainty.

**The customer's outcome is the measure.** Internal convenience does not outrank a customer's legitimate expectation. Where a policy produces an outcome that is technically correct and obviously unfair, escalate it rather than applying it and moving on.

**Say the difficult thing early.** Problems reported late are more expensive than problems reported early, without exception. Nobody at this company is penalised for raising a problem promptly, including a problem they caused.

## Joining the Company

### *Before the first day*

People Operations confirms the start date, working location, equipment requirements, and any accessibility adjustments in writing. Contracts are issued and signed before the first day, never after.

### *First week*

Every new joiner receives a structured first week covering the company's operating model, the site network, the product catalogue, the systems they will use, and mandatory training in data protection and, for site-based roles, health and safety.

New joiners are assigned a named buddy outside their reporting line for the first three months. The buddy answers the questions people are reluctant to ask a manager.

### *Probation*

New employees serve a six-month probation period. During probation, either party may terminate with two weeks' notice. Probation includes a formal review at month three and month six. An employee whose probation is not confirmed must be told why, in writing, with specific examples. A probation failure that comes as a surprise to the employee represents a management failure as much as a performance one.

## Employment Basics

### *Working hours*

Standard working time is 40 hours per week, Monday to Friday. Core hours, during which employees are expected to be reachable, are 10:00 to 15:00 CET. Outside core hours, working time is flexible by agreement with the line manager.

Warehouse and branch roles operate on published shift patterns rather than flexible hours, because physical operations require coverage at fixed times. Shift patterns are published at least three weeks in advance. Changes inside that window require the employee's agreement except in a genuine emergency.

Rest breaks follow statutory requirements: at least 30 minutes after six hours worked, and at least 45 minutes after nine hours. Breaks are not optional and managers must not create conditions that make them impractical to take.

### *Overtime*

Overtime must be agreed in advance with a line manager. Unagreed overtime is not compensated, and a pattern of unagreed overtime is treated as a workload problem for the manager to resolve rather than a matter for the employee.

Overtime is compensated by time off in lieu at a rate of one to one, to be taken within three months. Where time off in lieu is impractical, overtime is paid at the contractual rate.

Sustained overtime above ten hours per week for more than four consecutive weeks triggers a workload review by People Operations, regardless of whether the employee has raised a concern.

### *Remote and hybrid working*

Office-based roles may work remotely up to three days per week by agreement. Warehouse, branch, and fulfilment roles are site-based by nature, and the company does not pretend otherwise or offer notional flexibility it cannot honour.

Remote work requires a suitable working environment and a reliable connection. The company contributes to home office equipment up to 600 EUR per employee every three years. Requests are made through People Operations.

Remote workers must be reachable during core hours and must attend site when their presence is genuinely required, including team planning days, which are announced at least two weeks ahead.

Working from outside Germany requires prior approval, because it can create tax and social security obligations for both parties. Approval is normally limited to 20 working days per year within the European Union.

# Compensation and Benefits

### *Pay*

Salaries are paid monthly, on the last working day of the month, in arrears. Payslips are issued electronically.

Salary bands exist for every role and are reviewed annually against market data. An employee may ask their manager or People Operations which band applies to their role and where in the band they sit, and is entitled to a straight answer.

### *Annual review of pay*

Pay is reviewed each January. A review considers the market position of the role, the employee's position in the band, and their contribution over the year. Not every review results in an increase, and where it does not, the reason is given.

### *Expenses*

Business expenses are reimbursed where they are necessary, reasonable, and evidenced by a receipt. Claims are submitted within 60 days of the expense.

- Travel is booked in advance where practical. Rail is preferred over air for

journeys under five hours.

- Accommodation is booked at a standard rate appropriate to the city.
- Meals while travelling are reimbursed at the statutory per-diem rate.
- Client or supplier hospitality requires prior approval from a manager.

Nobody approves their own expenses. A manager's expenses are approved by their manager. Expenses submitted without receipts are not reimbursed except in genuinely exceptional cases approved by Finance.

### *Pension and insurance*

The company operates a workplace pension scheme with employer contributions as set out in the employment contract. Statutory health, unemployment, and accident insurance apply as required by German law.

# Leave

### *Annual leave*

Full-time employees receive 28 days of paid annual leave per calendar year, excluding public holidays. Leave accrues monthly and may be taken as it accrues. Part-time employees receive a pro-rata entitlement.

Up to five days may be carried into the following year and must be used by 31 March. Leave beyond five days does not carry over and is not paid out, except where an employee was prevented from taking it by operational demands, in which case People Operations arranges payment or an extended carry-over.

Leave requests are submitted at least two weeks in advance for periods up to one week, and at least six weeks in advance for longer periods. Managers respond within five business days. A refused request must state the operational reason.

During November and December, leave in warehouse, branch, and fulfilment roles is restricted because those are the busiest weeks of the year. Restrictions are published by 1 September so people can plan.

Managers are responsible for ensuring their team actually takes leave. An employee carrying a large untaken balance late in the year is a management issue, not evidence of commitment.

### *Sick leave*

An employee unable to work through illness must inform their manager before the start of their working day, or as soon as practicable. A medical certificate is required from the fourth consecutive day of absence, or earlier if requested.

The company pays sick pay in accordance with German statutory requirements. No employee is asked to disclose a diagnosis, and managers must not ask.

Persistent short absences are addressed through a supportive conversation about underlying causes before any formal process begins. Absence caused by a disability or a chronic condition is handled through reasonable adjustments rather than through the absence procedure.

Nobody is expected to work while genuinely unwell, including remotely. A manager who implies otherwise is acting contrary to this handbook.

### *Parental and family leave*

Parental leave, maternity protection, and family care leave follow German statutory entitlements in full. The company does not require employees to use annual leave for these purposes.

Employees returning from extended parental leave return to their previous role where it exists, and to an equivalent role where it does not. A phased return over the first month is available on request.

### *Compassionate leave*

Up to five days of paid leave is available on the death of a close family member, and up to two days for a family emergency. These are granted by the line manager without needing People Operations approval and without documentation.

### *Unpaid leave and sabbatical*

Unpaid leave may be granted at the company's discretion for personal reasons. Employees with more than three years' service may apply for a sabbatical of one to three months. Approval depends on operational cover and is not automatic, but a refusal must be explained.

## Equality, Diversity and Inclusion

The company recruits, pays, develops, and promotes on the basis of capability and contribution. Decisions must not be influenced by race, ethnic origin, religion, disability, age, sex, sexual orientation, gender identity, marital status, pregnancy, or part-time status.

### *Reasonable adjustments*

Employees with a disability or health condition are entitled to reasonable adjustments. Requests are made to a manager or People Operations and are discussed rather than simply approved or refused. The employee is not required to disclose a diagnosis to request an adjustment.

### *Inclusive practice*

Meetings are scheduled within core hours wherever possible, so that people with caring responsibilities are not systematically excluded. Written summaries follow significant verbal decisions, so that people who were absent are not disadvantaged. Social events are not built around alcohol as the only activity.

### *Reporting discrimination*

Discrimination, harassment, and victimisation are addressed through the routes in the Addressing Problems section. They are treated as conduct matters of the most serious kind, not as interpersonal difficulties to be smoothed over.

## Conduct Standards

### *Treatment of colleagues*

Harassment, discrimination, bullying, and retaliation are prohibited without qualification. This covers conduct based on race, ethnic origin, religion, disability, age, sex, sexual orientation, gender identity, or any other personal characteristic.

Prohibited conduct includes deliberate exclusion, persistent belittling, unwanted physical contact, and sexual advances. It applies equally at work, at work-related social events, in written communication, and in messaging channels.

An employee who believes they have experienced or witnessed such conduct should report it to their manager, to People Operations, or through the confidential reporting route described below. Reports are investigated. Retaliation against someone who reports in good faith is itself a disciplinary matter and is treated as seriously as the original conduct.

### *Treatment of customers*

Customers are treated with the same respect as colleagues. Abusive customers may have a contact terminated after one warning, but their entitlements under the return policy remain unaffected, and their case must still be resolved on its merits. An employee is never required to absorb abuse in order to close a case.

### *Honesty in records*

Records must reflect what actually happened. This includes sales records, stock counts, return notes, quality reports, working time, and expenses.

Falsifying a record is gross misconduct. This includes recording a sale in the wrong channel to hit a target, adjusting a stock count to close a variance, recording a return reason that is not the true reason, and approving one's own expenses.

The distinction that matters is between an error and a falsification. Errors are expected and correcting them promptly is encouraged. Nobody is disciplined for an error reported honestly and quickly.

### *Alcohol and substances*

Being under the influence of alcohol or drugs at work is prohibited. In warehouse, branch, and driving roles it is treated as gross misconduct because of the safety risk to others.

Moderate alcohol at sanctioned company events is permitted. Employees remain subject to the conduct standards in this handbook at such events, and managers in particular are expected to set the tone.

An employee with a substance dependency who discloses it before it results in a conduct issue will be supported toward treatment rather than disciplined.

## Conflicts of Interest

A conflict of interest arises when a personal interest could influence, or appear to influence, a decision made on behalf of the company.

Employees must declare:

- Any financial interest in a supplier, competitor, or customer
- Any close personal relationship with a supplier contact or a colleague where

one manages or influences the other's role, pay, or progression

- Any secondary employment or consultancy
- Any position held on the board of another commercial organisation

Declarations go to People Operations and are recorded. Declaring a conflict is not an admission of wrongdoing; failing to declare one is the wrongdoing.

Employees may not participate in a decision affecting a party they have a declared interest in. This applies to supplier selection, pricing negotiation, recruitment, and performance assessment.

## Gifts and Hospitality

Gifts and hospitality can create obligation, and the appearance of obligation damages trust as much as the reality.

| Value | Treatment |
|---|---|
| Under 30 EUR | Acceptable, no declaration needed |
| 30 to 100 EUR | Acceptable, must be declared to the line manager |
| Above 100 EUR | Must be declined, or declared and surrendered to the company |
| Cash or equivalent | Must be declined at any value |

Hospitality such as a working meal is acceptable where it is proportionate and where business is genuinely discussed. Travel and accommodation paid by a supplier require prior approval from a director.

Gifts must never be accepted during an active procurement or contract negotiation, at any value.

## Anti-Bribery and Anti-Corruption

The company prohibits bribery in every form, whether offered, given, requested, or accepted, and whether directly or through a third party. This applies regardless of local custom in any market.

Facilitation payments, meaning small payments to speed up a routine action, are prohibited. Where an employee is pressured into one and pays it under duress or where personal safety is at risk, they must report it immediately and will not be penalised for the payment itself.

Charitable donations and sponsorships must not be used to obtain a commercial advantage and require approval from a director.

## Confidential Information and Intellectual Property

### *Confidentiality*

Employees have access to information that is not public: pricing, margins, supplier terms, customer data, product plans, and financial performance.

This information must not be disclosed outside the company, discussed in public places, posted on social media, or used for personal benefit. The obligation continues after employment ends.

Personal data carries additional obligations set out in the Data Protection and AI Governance Policy. In short: access it only when your role requires it, use the least data that answers the question, and never move it outside approved systems.

Where an employee is unsure whether something is confidential, the assumption is that it is, until a manager confirms otherwise.

### *Intellectual property*

Work created in the course of employment belongs to the company. This includes code, documentation, designs, processes, and analysis.

Employees may work on personal projects in their own time using their own equipment. Where such a project relates to the company's business, it should be declared, so that ownership is clear before it becomes contentious rather than after.

Contributions to open source using company time or systems require manager approval, which is normally granted for tooling unrelated to the company's commercial advantage.

## Company Systems and Security

### *Acceptable use*

Company systems are provided for company work. Incidental personal use is acceptable where it does not interfere with work, consume significant resources, or involve anything unlawful or offensive.

Prohibited uses include accessing systems or data beyond your role, sharing credentials, circumventing security controls, installing unapproved software on company devices, and connecting unapproved storage devices to company systems.

### *Credentials*

Credentials are personal and must never be shared, including with a manager. Where someone needs access, they are granted their own. Shared administrative credentials are rotated whenever a person with access leaves.

Multi-factor authentication is mandatory on all accounts that support it. Passwords are stored in the approved password manager, never in documents, spreadsheets, or messages.

### *Phishing and social engineering*

Most successful attacks begin with a convincing message rather than a technical exploit. Two patterns account for the majority: a request to change payment details, and a request to act urgently outside the normal process.

Any request to change supplier or employee bank details is verified by an outbound call to a known number, never one supplied in the request. Urgency is treated as a warning sign rather than a reason to skip verification.

Suspected phishing is reported to the security contact and not forwarded to colleagues.

### *Device security*

Company devices are encrypted and must be locked when unattended. Loss or theft is reported immediately so that access can be revoked, whatever the hour and whatever the circumstances of the loss.

### *Monitoring*

The company logs system access and retains those logs for security purposes. It does not read personal message content, and it does not monitor productivity through keystroke or screen capture tooling.

Logs are reviewed where there is a specific security or misconduct concern, with People Operations involved. They are not browsed speculatively.

## Communication and Social Media

### *Internal communication*

Decisions that affect other people are recorded in writing. A decision that exists only in a conversation cannot be relied on by anyone who was not present.

Messaging channels are not expected to be monitored outside working hours. Nobody is required to respond to a message sent in the evening or at a weekend, and managers should schedule such messages for the next working day rather than create an implicit expectation.

### *External communication*

Only designated people speak for the company to press, analysts, or regulators. An employee approached in that capacity should refer the request rather than answer it, however straightforward the question seems.

### *Social media*

Employees are free to use social media personally. When identifiable as an employee, they should make clear that views are their own, must not disclose confidential information, and must not disparage customers, colleagues, or suppliers.

Posting about incidents involving customers, including anonymised anecdotes, is prohibited, because customers frequently recognise themselves.

## Health and Safety

### *General duty*

Everyone is responsible for their own safety and for not creating risk for others. Employees must follow safety procedures, use provided equipment correctly, and report hazards promptly.

### *Warehouse and branch specifics*

Manual handling training is mandatory before any role involving lifting. Powered equipment may only be operated by trained and authorised staff. Personal protective equipment provided for a task must be worn for that task.

Blocked fire exits, damaged racking, spillages, and faulty equipment must be reported immediately and the area made safe. No target, deadline, or customer promise justifies an unsafe act. An employee who stops work on genuine safety grounds is supported in that decision.

### *Accidents and near misses*

All accidents are recorded, however minor. Near misses are recorded too, because a near miss is a free lesson about an accident that has not happened yet. Recording a near miss never results in disciplinary action.

### *Fire and evacuation*

Evacuation routes are posted at every site. Drills are held twice yearly at warehouse and branch sites and annually at office sites. On an alarm, everyone leaves by the nearest safe route and assembles at the designated point. Nobody re-enters until the responsible person confirms it is safe.

### *Wellbeing*

The company provides access to confidential counselling support. Use of it is private and is never disclosed to managers.

Workload is a management responsibility. An employee who reports an unmanageable workload is entitled to a substantive response, not encouragement to work harder.

## Performance and Development

### *Regular conversations*

Every employee has a documented conversation with their manager at least quarterly, covering what is going well, what is not, and what support is needed. These are not graded assessments; they exist so that nothing in a formal review is a surprise.

### *Annual review*

An annual review takes place in January covering the prior calendar year. It considers what was delivered and how it was delivered. An employee whose results are strong but whose conduct falls below the standards in this handbook has not had a good year, and the review must say so.

### *Development*

Each employee has an annual development budget of 1,200 EUR for training, certification, conferences, or study materials relevant to their role or a role they are working toward. Requests go through the line manager.

Time for study during working hours is agreed case by case and is not deducted from annual leave.

### *Progression*

Vacancies are advertised internally before externally, except where an urgent operational need makes that impractical. Internal candidates who are unsuccessful receive specific feedback on what would make a future application successful.

### *Managing underperformance*

Underperformance is addressed first through support: clarifying expectations, identifying obstacles, and providing training. Where that does not resolve it, a formal improvement plan follows, stating specifically what must change, by when, and how it will be measured.

An improvement plan is a genuine attempt at improvement, not a procedural step toward dismissal. A manager who has decided the outcome in advance is misusing the process.

## Addressing Problems

### *Raising a concern*

Concerns should first be raised with a line manager, who is expected to respond substantively within five business days. Where the concern involves the manager, or where the response is inadequate, it can be raised with People Operations directly.

### *Confidential reporting*

Serious concerns, including suspected fraud, safety violations, harassment, or breach of law, may be reported confidentially to People Operations or to a director. Reports may be made anonymously, though a named report is easier to investigate properly.

Anyone reporting in good faith is protected from retaliation, including where the concern turns out to be mistaken. Deliberately false reports made in bad faith are a disciplinary matter, but an honest concern that proves unfounded never is.

### *Grievance procedure*

A formal grievance is submitted in writing to People Operations. A meeting is held within ten business days, at which the employee may be accompanied by a colleague. A written outcome follows within five business days of the meeting. An employee may appeal once, to a director not previously involved.

### *Disciplinary procedure*

Where conduct or performance falls below standard, the normal sequence is an informal conversation, then a written warning, then a final written warning, then dismissal. Each stage is documented, states specifically what must change, and sets a review period.

Gross misconduct may result in dismissal without prior warnings. Examples include theft, falsifying records, violence, serious harassment, deliberate breach of safety rules creating risk to others, and serious breach of data protection obligations.

An employee facing a disciplinary meeting is told the allegations in advance in writing, may be accompanied, and may respond before any decision is taken. Suspension during investigation is neutral, is on full pay, and is not a penalty.

### *Mediation*

Where a dispute is between colleagues rather than a matter of misconduct, mediation is offered before formal procedures. Participation is voluntary and nothing said in mediation is used in a later formal process.

## Leaving the Company

### *Notice*

Notice periods are set out in the employment contract and follow statutory minimums as a floor.

### *Handover*

Departing employees are expected to document ongoing work, transfer responsibilities, and return all company property including devices, keys, and access cards on or before the final day. All company accounts are deactivated on the final day.

### *Exit conversation*

People Operations offers an exit conversation to every departing employee. Participation is voluntary. Themes are reported in aggregate to management; individual comments are not attributed.

### *Continuing obligations*

Confidentiality obligations continue indefinitely. Any restrictive covenants are those set out in the employment contract and no others.

### *References*

The company provides a reference on request, in accordance with German law. A reference is factual, and its content is not affected by the circumstances of departure except where the law requires accuracy on that point.

## Handbook Governance

This handbook is reviewed annually by People Operations and approved by the Managing Director. Employees may propose changes at any time through People Operations.

The current version is the one published internally. Printed copies are uncontrolled and may be out of date.

# Document Control

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